

MARKET SURVEY:

Industrial Automation: Enabling the Next Industrial Revolution



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India is vying for a spot in the global manufacturing landscape as it aims to emerge as the preferred manufacturing destination for global players. Up until now China has been beating India hands down—it is still way ahead as India's manufacturing contribution to GDP is a mere 13 per cent as compared to China's 30 per cent—but now India has a chance to turn the tide in its favour. With the rising cost of production in China and strengthening of Yuan against the Dollar, investors are looking at alternate manufacturing destinations. To harness this, the Indian government has launched Make in India initiative to encourage domestic production.

However, if India has to realise its dream of becoming a global manufacturing hub, it must not imitate but instead focus on moving towards improving operational excellence. Compelled by the continuous pressure on profitability improvement, manufacturers are looking to invest in solutions that would help them increase their productivity by utilising minimal assets, in turn focusing on improving return on investment (RoI), increasing reliability and efficiency. This is where industrial automation will act as an enabler.

Anup Wadhwa, director, Automation Industry Association, opines, "The new wave of manufacturing in India will be about quality products (zero defects) and about managing

the manufacturing in a way to avoid polluting the environment (zero effect). Both are possible only with proper understanding and application of industrial automation."

Avenues of growth

The industrial automation market in India has been growing at a considerable pace over the last few years, owing to the growing need of complying with global standards in quality and cost-effective methods of production. And, future prospects for the industry look rather bright.

According to a TechSci Research report titled 'India Factory Automation Market Forecast & Opportunities, 2020', factory automation market in India is projected to witness a compound annual growth rate (CAGR) of around 12 per cent during 2015-2020.

"Factory automation market in India is exhibiting significant growth due to growing demand from automotive hubs across the country. Further, Make in India initiative is also expected to play an important role in boosting the adoption of factory-automation solutions in the country. With major investments expected in the manufacturing sector in India in the upcoming years, demand for factory automation solutions in the country is also anticipated to rise over the next five years," says Karan Chechi, research director with TechSci Research.

The TechSci report noted that western and northern regions are the major markets for factory automation in India due to continuing industrial growth and the presence of special economic zones and various automotive hubs in these regions.

Deliberating on the sectors that are expected to boost the growth of automation, Wadhwa adds, "The sectors driving the demand at the moment are discrete manufacturing and energy management. Process automation is currently under threat because fresh investments in commodities like metal, cement and fertilizers are threatened due to

Industrial automation in action

